

Smart Logistics & Services Ltd

Smart LS – Digital Logistics Hub

Standard Operating Procedures (SOP)

Document Version: 1.1 (Delivery-Ready)

Effective Date: Upon Application Go-Live

Applicability: All Departments (Sales, Operations, Finance, HR, Admin, Management)

Governance Framework: ISO 9001:2015 • Internal Control System (ICS)

0. HOW TO USE THIS SOP (MANDATORY READING)

This SOP is the **authoritative operational guide** for using the Smart LS – Digital Logistics Hub.

- The **system enforces this SOP**. If an action is blocked, it is because a rule in this SOP has not been satisfied.
- This SOP must be read **by role**. Each section clearly states *Who does what, when, and with which controls*.
- Where a situation is not explicitly described, the **default rule applies**: *No approval, no action; no evidence, no progress*.

This SOP is designed to: - Eliminate ambiguity - Prevent financial, operational, and compliance risk - Stand independently during ISO or financial audits

1. INTRODUCTION & GOVERNING PRINCIPLES

1.1 Purpose

This SOP governs the execution of all commercial, operational, financial, and support activities within the Smart LS – Digital Logistics Hub.

It ensures: - End-to-end process control - Audit-grade traceability - Financial discipline - ISO 9001 compliance

1.2 Non-Negotiable System Principles

1. Single Source of Truth (SSOT)

Every engagement is anchored to one Operations File Reference. No duplication is allowed.

2. Segregation of Duties

No user may initiate, validate, and approve the same control-sensitive action.

3. Immutability After Approval

Approved records become read-only. Corrections require versioning or credit notes.

4. No Evidence, No Action

Missing mandatory evidence blocks progress.

5. System-Controlled Closure

Only the system may close an engagement when all conditions are satisfied.

2. ROLE & PROCESS OWNERSHIP MODEL

2.1 Core Roles

- **Sales** – Commercial intake, opportunities, quotations
- **Operations** – Execution, milestones, documentation
- **Finance** – Financial control, invoicing, collections, payroll
- **HR** – Employee data and payroll preparation
- **Admin** – System governance (no business execution)
- **Management (MD)** – Final approvals and oversight

2.2 Process Ownership Matrix

Process	Operational Owner	Final Authority
Commercial Intake & CRM	Head of Sales	MD
Operations Execution	Operations Manager	MD
Financial Control & Exposure	Finance Manager	MD
Procurement & Overheads	Admin / Finance	MD
Payroll	HR	MD
System Governance	Admin	MD

3. END-TO-END ENGAGEMENT LIFECYCLE (HAPPY PATH)

Lead → Opportunity → Operations File → Execution → Invoicing → Payment → Closure

No module may bypass this lifecycle.

4. PHASE 1 — COMMERCIAL INTAKE & SALES PIPELINE

Objective

Convert external demand into a validated Sales Opportunity.

Roles

Sales (Primary), Management (Oversight)

Steps

1. Lead enters via:
 2. Smart Quote Portal
 3. Contact Us
 4. Partnership Portal
5. Manual Sales entry
6. Sales reviews and qualifies the lead.
7. Outcome:
8. **LOST / ARCHIVED** → Process ends
9. **QUALIFIED** → Converted to Opportunity

Controls

- Leads are non-financial
- Leads may be deleted only before conversion

If the system blocks you

- Missing mandatory lead fields
- Duplicate lead detected

5. PHASE 2 — CLIENT MASTER VALIDATION

Objective

Ensure all engagements reference a valid Client Master record.

Roles

Sales (Create), Finance (Review)

Steps

1. Search Client Master.
2. If existing → select.
3. If new → create client with mandatory fields.

Controls

- Client IDs are permanent
- Clients cannot be deleted once referenced

Common Errors

- Attempting to create an Operations File without a Client
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6. PHASE 3 — OPERATIONS FILE CREATION

Objective

Create the immutable engagement anchor.

Roles

Sales / Operations

Steps

1. Select **WON Opportunity**.
2. Click **Create Operations File**.
3. Select Service Type and Territory.

Output

- System generates Operations File Reference

Controls

- Reference is immutable
 - VAT rules are locked at creation
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7. PHASE 4 — COSTING, MARGIN & QUOTATION

Objective

Define cost exposure and commercial pricing before execution.

Roles

Operations (Costing), Sales (Pricing), Management (Approval)

Steps

1. Operations prepares internal costing using Financial Dictionary.
2. Submit for validation.
3. Management approves costing.
4. Sales applies margin and generates quotation.
5. Management approves quotation.

Controls

- Margin visibility restricted
- Low-margin flags enforced

If the system blocks you

- Costing not approved
 - Margin below policy threshold
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8. PHASE 5 — PREFINANCING & CASH CONTROL

Objective

Control liquidity and advance exposure.

Roles

Operations (Request), Finance (Validate), Management (Approve)

Steps

1. Issue Proforma Invoice if advance required.
2. Record payment receipts.
3. Raise Cash Requests when needed.

Controls

- No disbursement without approval
 - All cash linked to Operations File
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9. PHASE 6 — OPERATIONS EXECUTION

Objective

Execute services and maintain real-time visibility.

Roles

Operations

Steps

1. Update milestones.
2. Issue Transit Orders.
3. Upload documents to Vault.
4. Issue Delivery Note and capture POD.

Controls

- Milestones are sequential
 - POD mandatory for billing
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10. PHASE 7 — ACTUAL EXPENDITURE & VARIANCE

Objective

Record real costs and manage deviations.

Roles

Operations, Finance

Steps

1. Record Actual Expenditure.
2. Attach receipts.
3. Declare variance if exceeding tolerance.

Controls

- Variances above tolerance require Management approval
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11. PHASE 8 — INVOICING & COLLECTIONS

Objective

Bill client and recover revenue.

Roles

Finance, Management

Steps

1. Generate Final Invoice.
2. Obtain approval.
3. Send to client.
4. Record payments and allocate.

Controls

- Invoicing blocked if execution incomplete
 - Automated reminders enforced
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12. PHASE 9 — MARGIN REALIZATION & CLOSURE

Objective

Confirm profitability and close engagement.

Roles

Finance, Management, System

Steps

1. System computes actual margin.
2. Management reviews.
3. System closes file when conditions met.

Closure Conditions

- Operations completed
 - Invoice fully paid
 - No outstanding exposure
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13. ENTERPRISE SUPPORT PROCESSES

13.1 Procurement

- PO required for all supplier spend
- No payment without approved PO

13.2 Payroll

- Attendance-driven
 - Multi-level approval
 - Locked after approval
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14. EXCEPTION MANAGEMENT

Exception Types

- Operational
- Financial
- Compliance

Rules

- Exception must be logged
 - Owner assigned
 - Management approval mandatory
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15. AUDIT, CONTROLS & COMPLIANCE

Audit Trail

- All actions logged
- Logs are immutable

Document Integrity

- Approved documents carry verification hash

Retention

- Minimum 7 years
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16. APPENDICES

APPENDIX A — KEY STATUS DEFINITIONS (AUTHORITATIVE)

This appendix defines all system statuses used across Smart LS. Statuses are **system-controlled** unless explicitly stated.

A.1 Commercial & CRM Statuses

Status	Meaning	Editable	Notes
NEW	Lead captured, not yet reviewed	Yes	Non-financial
QUALIFIED	Lead reviewed and viable	Yes	Sales-owned
NEGOTIATION	Commercial discussion ongoing	Yes	Pricing in progress
WON	Client confirmed engagement	No	Triggers Ops File creation
LOST	Opportunity declined	No	Archived for analytics

A.2 Operations File Statuses

Status	Meaning	Editable	Set By
OPEN	File created, not yet executed	Limited	System
IN_PROGRESS	Operations underway	Limited	System
OPERATIONALLY_COMPLETED	All milestones completed	No	System
FINANCIALLY_PENDING	Ops done, payment outstanding	No	System
CLOSED	Fully paid and reconciled	No	System only

A.3 Financial Document Statuses

Status	Meaning	Editable	Notes
DRAFT	Being prepared	Yes	Not auditable
SUBMITTED	Awaiting validation/approval	No	Locked
VALIDATED	Checked by validator	No	Approval pending
APPROVED	Final authority granted	No	PDF + hash generated
REJECTED	Returned for correction	Yes	Reason mandatory

APPENDIX B — ROLE & APPROVAL MATRIX (CONSOLIDATED)

This matrix is **system-enforced**. No role may bypass it.

B.1 Role Capability Summary

Action	Sales	Operations	Finance	Management
Create Lead / Opportunity	✓	✗	✗	✓
Create Operations File	✓	✓	✗	✓
Prepare Costing	✗	✓	✗	✗
Validate Costing	✗	✓ (Lead)	✓	✗
Approve Costing	✗	✗	✗	✓
Generate Quotation	✓	✗	✗	✗
Approve Quotation	✗	✗	✗	✓
Raise Cash Request	✗	✓	✓	✓
Validate Cash Request	✗	✗	✓	✗
Approve Cash Request	✗	✗	✗	✓
Record Actual Expenditure	✗	✓	✓	✗
Issue Final Invoice	✗	✗	✓	✗
Approve Final Invoice	✗	✗	✗	✓
View Margins	✗	✗	✓	✓
Close File	✗	✗	✗	System

B.2 Segregation of Duties Rules

- A user **cannot approve their own transaction**
- Admin users **cannot perform business actions**
- Management **approves but does not execute**
- Closure is **never manual**

APPENDIX C — SYSTEM BLOCKS, ERRORS & RESOLUTION GUIDE

This appendix explains **why the system blocks actions** and how to resolve them.

C.1 Common Operational Blocks

Block Message	Meaning	Resolution	Owner
CLIENT_REQUIRED	No Client selected	Create/select Client Master	Sales
OPPORTUNITY_NOT_WON	Opportunity not confirmed	Set status to WON	Sales
MISSING_MILESTONE	Required milestone incomplete	Complete prior milestone	Operations
POD_REQUIRED	Proof of Delivery missing	Upload signed POD	Operations

C.2 Financial & Control Blocks

Block Message	Meaning	Resolution	Owner
COSTING_NOT_APPROVED	Costing not approved	Submit for approval	Operations
ADVANCE_UNPAID	Required advance unpaid	Record receipt	Finance
RECEIPT_REQUIRED	Evidence missing	Upload receipt	Ops / Finance
VARIANCE_EXCEEDED	Actual > tolerance	Submit variance for approval	Finance
FILE_ON_HOLD	File blocked	Resolve hold reason	Assigned Owner

C.3 Security & Access Blocks

Block Message	Meaning	Resolution
UNAUTHORIZED_ACTION	Role not permitted	Escalate to Manager
ACCOUNT_SUSPENDED	User suspended	Contact Admin
SESSION_EXPIRED	Inactivity timeout	Re-login

C.4 Escalation Rule

If a block cannot be resolved within the user's role:

1. Escalate to immediate supervisor
2. Supervisor escalates to Process Owner
3. Management decision is final

End of SOP